

N.Ramesh S/O Nanjundappa vs Smt.Vanajaxi W/O N.R.Ramesh on 3 March, 2016

IN THE COURT OF THE LX ADDITIONAL CITY CIVIL &
SESSIONS JUDGE, BENGALURU
(CCH-61)

Dated this the 3rd day of March, 2016

:Present:

Sri B.Jayantha Kumar, B.A.,Law, LL.M.
LX Addl. City Civil & Sessions Judge,
Bengaluru.

CrI. Appeal. No.1020 / 2014

Appellant :- N.Ramesh S/o Nanjundappa
Aged about 50 years
R/at No.2924, 13th Main
2nd Stage, 12th CVross,
D Block, Rajajinagar
Bangalore-10

(Rep by Sri Vishnu Hegde, Advocate)

Vs

Respondent:- Smt.Vanajaxi W/o N.R.Ramesh
Aged about 49 years
r/at: No.1273/15, 6th Main Road
'A' Block, 2nd stage
Rajajinagar
Bangalore-10.

(Rep by Sri S.N.Basavaraju, Advocate)

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JUDGMENT

This appeal is filed u/sec.374(3) of Cr.P.C. challenging the Judgment dated 22.08.2014 passed by the XIX ACMM, Bengaluru in C.C.No.6685/2009 convicting the appellant / accused for the offence punishable u/s.138 of Negotiable Instruments Act and sentencing him to pay a fine of Rs.9,00,000/- and in default to undergo simple imprisonment for six months.

2. The appellant is accused and respondent is the complainant before the lower court. Hereinafterwards, the parties are referred to as per their ranks assigned to them before the lower

court.

3. The brief facts leading to this appeal are as follows:-

The accused and his wife Smt.Sheela were doing real estate business and they suffered loss in the real estate business and in order to overcome their financial difficulties, the accused approached the complainant and requested her for 3 CrI.A. 1020/2014 hand loan of Rs.8,00,000/- agreeing to return the same in the month of November 2008 with interest at the rate of 18% p.a. The complainant paid Rs.8 lakhs to the accused on 10.5.2008.

Towards discharge of the said loan amount, the accused issued cheque bearing 208886 dt.10.11.2008 drawn on the Citizen Co- Operative Bank Ltd., Rajajinagar, Bangalore. The complainant presented the said cheque on 20.11.2008 through her banker Corporation bank, Rajajinagar Branch, Bangalore and said cheque returned unpaid as insufficient funds in the bank account of the accused and hence the complainant got issued legal notice on 17.12.2008 to the accused calling upon him to pay the cheque amount. Said notice duly served upon the accused. But the accused has not paid the cheque amount. Hence, the complainant presented the complaint before lower court alleging the offence punishable u/s 138 of Negotiable Instruments Act.

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4. After filing of the private complaint, the learned Magistrate took cognizance of the offence and issued summons to the accused, who put in appearance through his counsel and thereafter, the lower court recorded the plea of the accused and the accused pleaded not guilty and claimed to be tried. Hence, the trial was conducted by the lower court.

5. In the lower court, the complainant herself examined as P.W.1 and got marked Ex.P1 to 9. After conclusion of trial, statement of accused u/s 313 of Cr.P.C. was recorded. The accused denied all the incriminating circumstances appeared in the prosecution evidence. Accused examined himself as DW1 and produced Ex.D.1 to Ex.D.4.

6. On hearing the parties, learned Magistrate recorded a finding that the accused has committed an offence punishable u/s 138 of Negotiable Instruments Act and passed the sentence against the accused as aforesaid.

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7. Feeling aggrieved by the impugned judgment and sentence passed, the accused preferred this appeal inter-alia contending that the impugned judgment passed is not sustainable and it is arbitrary and against to law; the lower court has failed to follow principles of law by providing fair and reasonable opportunity and there is no legally recoverable debt; the lower court ought to have appreciated the documents and facts placed by the accused before passing the impugned judgment; the judgment is passed without application of mind and lower court ought to have considered Ex.P.1

is invalid and manipulated cheque by indicating the name of the respondent. On that ground, the complaint itself is not maintainable. The complainant has failed to prove his case with material evidence. However, findings of the lower court relating to the inferences on the issue of disputed cheque are incorrect and not adequate to impose conviction. The complainant has been involved in the unlawful and illegal transactions with several persons and the said entire transaction is not a lawful transaction. The 6 CrI.A. 1020/2014 presumption U/s.138, 139 and 118 of Negotiable Instruments Act relates only to valid cheque and lawful transactions. The lower court wrongly presumed statutory provisions and presumptions drawn by the court below is incorrect under Sec.114 of Indian Evidence Act. The lower court has failed to follow the legal requirements that (1) there must be legally recoverable debt (2) unless and until contrary is proved (3) legal enforceable (4) there must be instrument which is not altered materially (5) dishonour of the cheque (6) demand of payment money within stipulated period and finally (7) notice to be sent to the proper address of the party and (8) filing of the case within stipulated period. The lower court has failed to appreciate that the initial burden is on the respondent under Sec.138 of Negotiable Instruments Act to show that the said cheque is issued for discharge of legally enforceable debt or other liability. Hence, prayed to set aside the judgment passed by the lower court.

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8. After filing of this appeal, this court issued notice to the respondent, who put her appearance through his counsel. Records from lower court are secured.

9. Heard arguments of learned counsel for the appellant and respondent.

10. In the light of the contentions taken up in the memorandum of appeal, the points that arise for my determination are as follows;

1) Whether the lower court has committed an error of law and facts in convicting the appellant/accused for the offence punishable U/Sec. 138 of Negotiable Instruments Act even though the cheque in question was not issued for legally recoverable debt?

2) Whether the lower court has committed an error of law in raising the presumptions under Sec.139 and 118 of 8 CrI.A. 1020/2014 Negotiable Instruments Act relating to invalid and unlawful transactions?

3) What order?

11. My findings on the above points are as follows:

Point No.1 : In the Negative Point No.2 : In the Negative Point No.3 : As per final Order REASONS

12. Point No.1 and 2:- It is the specific case of the complainant that the accused and his wife Smt.Sheela were doing real estate business and they suffered loss in the real estate business and in

order to overcome their financial difficulties, the accused approached the complainant and requested her for hand loan of Rs.8,00,000/- agreeing to return the same in the month of November 2008 with interest at the rate of 18% p.a. The complainant paid Rs.8 lakhs to the accused on 10.5.2008. Towards discharge of the said loan amount, the accused issued cheque bearing No.208886 9 Crl.A. 1020/2014 dt.10.11.2008 drawn on the Citizen Co-Operative Bank Ltd., Rajajinagar, Bangalore. The complainant presented the said cheque on 20.11.2008 through her banker Corporation bank, Rajajinagar Branch, Bangalore and said cheque returned unpaid as insufficient funds in the bank account of the accused and hence, the complainant got issued a legal notice on 17.12.2008 to the accused calling upon him to pay the cheque amount. Said notice duly served upon the accused. But the accused has not paid the cheque amount. Hence, the complainant presented the complaint before lower court alleging the offence punishable u/s 138 of Negotiable Instruments Act.

13. In order to prove her case, complainant herself examined as PW1 and she has produced documents. Ex.P.1 is the original cheque, Ex.P.2 is the bank endorsement, Ex.P.3 is legal notice issued by the complainant to the accused on 17.12.2008, Ex.P.4 is the certificate of posting, Ex.P.5 is postal acknowledgement, Ex.P.6 is the reply notice issued by accused 10 Crl.A. 1020/2014 on 24.12.2008, Ex.P.7 is the copy of legal notice dt.21.10.2008 got issued by the accused to the complainant, Ex.P.8 is the reply notice dt.19.11.2008 got issued by complainant to the accused.

14. Accused himself examined as DW1 and in support of his case, he has produced the certified copy of the legal notice dt.21.10.2008 marked as Ex.D.1, certified copy of reply notice dt.19.11.2008 issued by Smt.Sheela wife of accused to complainant is at Ex.D.2, certified copy of postal acknowledgement is at Ex.D.3 and certified copy of postal receipt and certificate of posting is marked as Ex.D.4.

15. Learned counsel for the accused has vehemently argued that the complainant has not established her financial capacity to pay Rs.8 lakhs to the accused. He has further argued that the complainant had no source of income to pay Rs.8 lakhs to the accused and the accused had issued notice as per Ex.P.7 to the complainant on 21.10.2008 demanding her to 11 Crl.A. 1020/2014 return 8 blank cheques and only after issuance of said notice Ex.P.7, the complainant presented cheque in question on 20.11.2008 and got dishonoured and filed this false complaint. He has further argued that there is no legally recoverable debt and the complainant has manipulated the cheque and presented to the bank for unlawful gain. In support of his argument, he has relied upon the decisions reported in :-

1) 1997 Cri.L.J.4237 (Uplanche Mallikarjun and others Vs. Rat Kanti Vimala and another)

2) 1997 Cri.L.J. 1942 (M/s.Swastik Coaters Pvt Ltd., Vs. M/s.Deepak Brothers and others)

3) 1995 Cri.L.J. 560 (Shri Taher N.Khambati Vs. Vinayak Enterprises, Secunderabad and others)

4) 2001 (1) KCCR 437 (G.Premadas Vs. Venkataraman)

5) LAWS (MAD)-1998-10-21 (M/s.Balaji Seafoods Exports (India) Ltd., Vs. Mac Industries Ltd)

6) ILR 1976 KAR 1312 (Dharmachand Bandulal Gandhi and others Vs. State of Karnataka) 12 Crl.A. 1020/2014

16. Learned counsel for complainant has argued that the accused had admitted the issuance of cheque and he has also admitted that Ex.P.1 cheque belongs to his bank account and he has also admitted signature finds place in Ex.P.1 belongs to him and therefore, there is legal presumption U/s.139 and 118 of Negotiable Instruments Act that the cheque in question was issued for consideration and issued for legally enforceable debt as the complainant has proved her case. He has further argued that since the cheque as well as signature has been accepted by the accused, so presumption U/s.139 of Negotiable Instruments Act would operate and then the burden is on the accused to disprove the cheque and existence of any legally recoverable debt or liability. In support of his argument, he has relied upon the following decisions:-

(1) 2015(2) DCR 11 (T.Vasanthakumar Vs. Vijayakumari)

In the said decision, Hon'ble Supreme Court has held as follows:-

13 Crl.A. 1020/2014 "Negotiable Instruments Act, 1881 - sec.138 and 139 - Cr.P.C., - Sec.378 - Dishonour of cheque -

convicted by lower court but acquitted by High Court - Validity - Held - Since cheque as well as the signature has been accepted by the accused /respondent, so presumption under Sec.139 of N.I.Act would operate - Burden was on accused to disprove the cheque or existence of any legally recoverable debt or liability - Set aside the acquittal - appeal is allowed."

(2) AIR 1999 SUPREME COURT 3762 (K.Bhaskaran Vs. Sankaran Vaidhyan Balan and another) In the said decision, Hon'ble Supreme Court has held as follows:-

D. Negotiable Instruments Act - Ss.138, 118 and 139 - Cheque dishonour - accused denied having issued the cheque although he owned his signature therein -

Presumption that cheque was made or drawn for consideration on date which cheque bears arises - Holder of cheque presumed to have received it for discharge of liability - Burden is upon accused to rebut presumption.

(3) 2007 (4) KCCR 2448 (M/s.PKN Caps and Polymers Pvt Ltd Vs. Sri K.Vishnu Prasad) 14 Crl.A. 1020/2014 In the said decision, Hon'ble High Court of Karnataka has held as follows:-

"Negotiable Instruments Act -Ss.138 and 139 - Cr.P.C., - Sec.200 - Evidence Act - Sec.118 - Legally enforceable debt - Admission as to - Presumption - Held, when the respondent /accused had admitted about issuance of two cheques and the receipt of the demand notice and dishonour of the cheques, he could not contend that the cheques were not for legally enforceable debt.

(4) 2006(1) AIR Kar R 666 (Smt.Usha Suresh Vs. R.V.Shashidaran) In the said decision, Hon'ble High Court of Karnataka held as follows:-

Negotiable Instruments Act - Ss.138, 139 - Dishonour of cheque - Issuance of cheque and signature on cheque is accepted and admitted by accused

- Initial presumption has to be raised in favour of complainant that cheque in question was issued towards "legally recoverable debt" - Presumption being rebuttable such rebuttal evidence has to be placed before court by accused - By giving mere explanation, accused cannot

15 Crl.A. 1020/2014 get away from penal action - defence raised by accused must be probable or acceptable to court.

(5) 2012(6) Kar.L.J.164 (B.H.Lakshminarayana Vs. Smt.Girijamma) In the said decision, Hon'ble High Court of Karnataka has held as follows:-

"Negotiable Instruments Act - S.138 - Dishonour of cheque - contention of accused that cheques were issued in furtherance of a loan transaction - However, loan was never given to accused - Therefore, accused wrote a letter to complainant stating that he is stopping payment on cheques - cheques presented thereafter and dishonoured - Accused convicted by the Magistrate and confirmed by Sessions Judge - On criminal Revision - Held - Signature of accused on cheques are not disputed

- Contention of accused that cheques were issued in anticipation of loan that complainant and her husband were to arrange a loan for him."

17. Let me go through the evidence of the complainant. Complainant Smt.Vanajakshi is examined PW1. PW1 in her 16 Crl.A. 1020/2014 evidence has deposed that the accused approached her and requested to lend loan of Rs.8 lakhs and accordingly, she paid Rs.8 lakhs by way of cash to the accused on 10.5.2008 and towards discharge of the said loan amount, the accused issued cheque bearing No.208886 dt.10.11.2008. She has further stated that when the said cheque presented to the bank for encashment, the same was returned unpaid as insufficient funds in the bank account of the accused. During the course of cross-examination, she has deposed that she did her M.A., and B.Ed., education and working as lecturer in East West TCH college, Rajajinagara, from 1986 to 1999 and at

that time, she was earning Rs.3,000/- to 8,000/- p.m. She has further deposed that now she is running a coaching class and day care center with her friends. She has further stated that her friend Nirmala invested funds to open the coaching class. She has further deposed that she was getting honorary payment for teaching to the children and she is getting Rs.1,000/- as honorary payment for each class. She has further deposed that 17 CrI.A. 1020/2014 she used to file income tax returns. She has further deposed that she is doing Tupperware business since 2008 and getting income of Rs.5,000/- p.m. She has further deposed that she was member of kitty party and there were 10 to 15 members in the said kitty party. She has further deposed that she kept the amount in the house for the purpose of constructing house. She has further deposed that she sold a site situated in Coffee Board layout. But she has deposed that she does not know the site number and sale consideration. She has further deposed that she got Rs.16 lakhs as sale consideration. She has denied that there was financial transaction between her and accused and his wife in the month of August and December 2006. During the course of cross-examination, a suggestion was put to PW1 that she gave Rs.4,25,000/- to the accused after deducting Rs.75,000/- and he used to pay the said loan amount at the rate of Rs.25,000/- p.m. PW1 has denied this suggestion. Another suggestion was put to PW1 that he gave Rs.8,00,000/- and Rs.75,000/- as principal and interest to the complainant.

18 CrI.A. 1020/2014 PW1 has denied this suggestion also. PW1 has admitted that they filed three cases against one Vijay Ramanath for Rs.11 lakhs in respect of chit transaction. She has further deposed that she has filed check bounce case against wife of the accused in CC 6684/2009. She has also admitted that her husband filed another cheque bounce case for Rs.9 lakhs against one Venkatesh Prasad in CC No.6686/2009. She has also admitted that her husband filed another cheque bounce case against the accused in CC 6687/2009 in respect of cheque amount of Rs.10,50,000/-. So the evidence of PW1 raises doubt about financial capacity of the complainant and her husband to pay so much amount to the borrowers. The complainant has not produced any document to show that she had financial capacity to pay Rs.8 lakhs to the accused on 10.5.2008. She has not produced income tax returns to show that she has declared the amount paid to the accused.

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18. Now let me go through the documentary evidence. The wife of present accused issued a legal notice to the husband of complainant on 21.10.2008 marked as Ex.P7. In this notice, she has stated that you are well aware that in August 2006, P.Sheela had approached for financial assistance as hand loan to the tune of Rs.5 lakhs in order to purchase a car and the husband of the complainant had agreed to pay Rs.5 lakhs by deducting Rs.75,000/- and accordingly, she received Rs.4,25,000/-. She has further stated she has paid the entire amount in monthly installments of Rs.25,000/- and in all she has paid Rs.8 lakhs i.e., Rs.6,50,000/- by way of cash and Rs.1,50,000/- towards adjustment of chit transaction. The complainant has issued reply notice dt.19.11.2008 marked as Ex.P.8. After dishonour of cheque, the complainant issued notice dt.17.12.2008 and the accused issued reply notice dt.24.12.2008 marked as Ex.P.6.

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19. Accused himself examined as DW1. In his evidence, he has denied that he borrowed Rs.8 lakhs loan from the complainant. He has further deposed that in the month of August 2006, his wife P.Sheela had approached complainant's husband for financial assistance as hand loan to the tune of Rs.5 lakhs in order to purchase a car and accordingly, the complainant's husband has agreed to pay Rs.5 lakhs by deducting Rs.75,000/-. He has further deposed that his wife had repaid the same i.e., a sum of Rs.6,50,000/- by way of cash and a sum Rs.1,50,000/- towards adjustment of chit transaction. So according to the accused, his wife repaid Rs.8 lakhs to the complainant. During the course of cross- examination, DW1 has admitted that Ex.P.1 cheque belongs to him, Ex.P.1(a) signature also belongs to him. He has also admitted that he has handed over the said cheque to the complainant. But he has contended that the said cheque was issued as security and he has also admitted that he has received legal notice issued by the complainant.

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20. So, on reading entire evidence of complainant as well as accused, one thing is clear that the complainant has not produced any document to show her financial capacity. She has not produced any other document except Ex.P.1 to show that she had paid Rs.8 lakhs as loan to the accused on 10.5.2008. But the accused has contended that his wife had received Rs.5 lakhs from the complainant's husband in order to purchase a car in the year 2006. He has further deposed that his wife had repaid the same i.e., a sum of Rs.6,50,000/- by way of cash and Rs.1,50,000/- towards adjustment of the amount of chit transaction. He has further stated that his wife had repaid Rs.8 lakhs to the complainant. The accused has not produced any piece of document to show that he has repaid the loan borrowed from complainant's husband in the year 2006. Since the accused has admitted that his wife borrowed loan Rs.5 lakhs in the year 2006 from the complainant's husband, since accused has not produced any documents to show that he has repaid the amount to the complainant or complainant's 22 CrI.A. 1020/2014 husband, if the interest is calculated for Rs.5 lakhs from 2006, then the claim of the complainant is not exorbitant one. Though the complainant has not produced any document to show that she lent Rs.8 lakhs on 10.5.2008 to the accused, since the accused has admitted borrowing of loan of Rs.5 lakhs in the year 2006, since he has not produced any document to show the repayment of loan and since accused has admitted the issuance of cheque and his signature in Ex.P.1, then the accused is liable to pay the cheque amount. Since he has not paid the cheque amount in spite of issuance of legal notice by the complainant, the accused is liable for conviction U/s.138 of Negotiable Instruments Act. The lower court by appreciating oral as well as documentary evidence has rightly come to the conclusion that the accused has committed offence punishable U/Sec. 138 of Negotiable Instruments Act. The accused has not adduced any cogent evidence to rebut the presumption available U/s.139 and 118 of Negotiable Instruments Act. Therefore, there are no grounds to set aside the judgment 23 CrI.A. 1020/2014 passed by the lower court and accordingly, I answer point No.1 and 2 in Negative.

21. Point No.3: In view of my findings on point No.1 and 2, I proceed to pass the following:

ORDER The appeal filed u/sec. 374(3) of Cr.P.C. by the appellant/accused is hereby dismissed.

The judgment passed by the XIX ACMM, Bengaluru in C.C.No.6685/2009 dated 22.08.2014 convicting the accused for the offence punishable U/Sec. 138 of Negotiable Instruments Act is hereby confirmed.

Send a copy of this judgment to the lower court along with LCR.

(Dictated to the Judgment Writer, transcribed and typed by him, corrected and then pronounced by me in the open court on this the 3rd day of March, 2016) (B.Jayantha Kumar) LX Addl.City Civil & Sessions Judge, Bengaluru.